# WAVERLEY GATEWAY GUIDE

*Connecting International Capital*

# DOMINICA

**Caribbean**

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Roseau | Capital and commercial centre; seat of government, the main cruise calls and the island's banking and professional services | Cruise tourism, retail, financial and professional services, real estate |
| International airport site (north-east, near Wesley) | New international airport under construction, with runway formation over 90% complete by December 2025 and completion expected in 2027, set to expand direct long-haul airlift | Aviation services, logistics, hospitality, construction |
| Laudat and the Roseau Valley | Home to the 10 MW geothermal plant, in commercial operation since 2026, and gateway to the Morne Trois Pitons National Park and a planned Boiling Lake cable car | Renewable energy, eco-tourism, wellness resorts |
| Portsmouth and the Cabrits peninsula (north-west) | Second town and growing resort cluster, including the InterContinental Dominica Cabrits Resort and the 128-suite Marriott Autograph Collection Anichi Resort under development | Luxury hospitality, yachting, branded residences |
| West coast (Salisbury to Mero) | Resort corridor with new projects such as the Hilton-branded Tranquility Beach development in Salisbury | Hotels, villas, marine tourism |
| Douglas-Charles Airport (Marigot, east coast) | Current main air gateway, served by direct United Airlines flights from Newark, supporting a 19% rise in stayover arrivals in 2025 | Aviation services, tourism, agri-trade |
| Rural interior and agricultural belt | Fertile volcanic soils and abundant fresh water support plantains, ginger and agro-processed exports such as soaps and paints to regional markets | Organic agribusiness, agro-processing, aquaculture, water |

### INVESTOR ENTRY ROUTES

- Invest Dominica Authority (national investment promotion agency) provides facilitation, incentive processing and sector guidance for priority areas including tourism, organic agribusiness, knowledge services and renewable energy
- Fiscal Incentives Act (Chap. 84:51), as amended in 2019, offering tax holidays of up to 15 years and duty-free concessions for manufacturers, agro-processors, ICT enterprises and other service providers

- Hotels Aid Act (Chap. 85:04) providing import duty exemptions for hotel and resort development, with Cabinet-approved development policies for tourism and real-estate projects above EC$3 million
- Eastern Caribbean dollar pegged at EC$2.70 to $1 and managed by the Eastern Caribbean Central Bank, with 100% repatriation of profits and no capital gains tax
- Legal system based on English common law; land purchases by non-nationals require a licence under the Alien Landholding regime
- Citizenship by Investment programme, now being aligned with a regional regulator (ECCIRA) and a common 30-day physical-presence rule, channels investment into approved hotel and real-estate projects
- 2026/27 Budget measures including a proposed flat 10% personal income tax from January 2027 and tax deductions for commercial rental buildings and approved business disaster funds

### MARKET-ENTRY OBSERVATION

Dominica in October 2026 is a small, open island economy in an active investment phase. Real GDP grew 4.5% in 2025 (IMF preliminary estimate) after 3.5% in 2024, driven by public infrastructure investment and tourism, with growth of around 3% projected for 2026–27 and inflation of 2.3% in 2025. Tourism is a clear strength: stayover arrivals rose 19% to 99,846 in 2025, surpassing 2019 levels, with a further 10% gain in the first quarter of 2026, while the 2025–26 cruise season was the strongest since 2010–11. Two transformational projects are reshaping the outlook: the 10 MW Laudat geothermal plant, which entered commercial operation in 2026 and is expected to lift the renewable share of electricity from about 25% to about 75%, and a new international airport due for completion in 2027. Foreign direct investment was around 5.6% of GDP in 2025, supported by tax holidays of up to 15 years and full profit repatriation.

Dominica's defining structural challenge is exposure to hurricanes and natural hazards, and its response has made it a regional leader in resilience. Tropical Storm Erika (2015) and Hurricane Maria (2017) caused combined damage of about $1.8 billion, almost three times GDP; since then the country has rebuilt with climate-resilient housing, a World Bank catastrophe deferred drawdown option and a Vulnerability, Risk and Resilience Fund that the IMF recommends building to 12% of GDP. Reconstruction has left public debt at around 103% of GDP in 2025, and the IMF has recommended a primary surplus of about 3.5% of GDP to reach the regional 60% benchmark by 2035, a path supported by revenue reforms in the 2026/27 Budget. The geothermal plant, cutting oil import needs by around 20%, shows how resilience investment is also becoming a commercial opportunity in energy, construction and climate-adapted tourism.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Natural-hazard exposure | Hurricanes and storms have caused large losses in the past, with Erika and Maria together causing damage of almost three times GDP | Build to resilient standards, use regional catastrophe insurance and the new tax deduction for approved business disaster funds; resilience works offer contracting opportunities |
| Public debt and fiscal consolidation | Public debt was around 103% of GDP in 2025 after reconstruction and major capital projects, above the regional 60% benchmark | The IMF-recommended consolidation path and 2026/27 revenue reforms target the 60% benchmark by 2035; the EC dollar peg, backed by a 97.6% reserve ratio, anchors currency stability |
| US entry restrictions and CBI scrutiny | Since 1 January 2026 Dominican nationals face partial US entry restrictions and three-month US visitor visas, citing CBI vetting; the EU has also warned on CBI-linked visa-free access | Dominica is introducing in-person passport collection, a 30-day physical-presence rule and a regional regulator; investors should not rely on CBI travel benefits and should take legal advice on any CBI-linked structure |
| Reliance on CBI revenues | CBI inflows reached about 31% of GDP in 2025 and fund major projects, but are expected to moderate toward around 16% of GDP | Fiscal reforms and growth in tourism and geothermal energy are broadening the economic base; diversified projects benefit from this transition |
| Small market and limited airlift | A population of about 66,000 and limited direct long-haul air connections constrain | The international airport due in 2027 and regional market access through the OECS |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| | scale | and CARICOM expand the addressable market for tourism and services |
| Energy costs and import dependence | Electricity has historically relied on imported diesel, though geothermal now supplies around half of demand | Lower and more stable power costs as geothermal output rises create openings in energy-intensive agro-processing and further renewables |
| Credit-union and banking-sector depth | Banks are adequately capitalised, but credit growth was modest at 1.6% in 2025 and credit unions, which hold over half of private credit, are being strengthened | Arrange project finance through regional and international lenders and DFIs such as the Caribbean Development Bank; regulatory modernisation is under way |

### INVESTOR RISK NOTE

Dominica's risk profile is that of a small island state turning its exposure to natural hazards into a resilience and green-energy investment story. Growth of 4.5% in 2025, record stayover arrivals, a geothermal plant now supplying around half of electricity demand and a new international airport due in 2027 are tangible achievements that broaden the economy's base. Public debt of around 103% of GDP reflects post-hurricane reconstruction and capital investment, and the IMF-recommended consolidation path, supported by 2026/27 revenue reforms, targets the regional 60% benchmark by 2035; the EC dollar peg, backed by ECCB reserves of 97.6%, provides a stable currency anchor. Investors should note that the US has applied partial entry restrictions and shorter visa validity to Dominican nationals since January 2026, citing CBI vetting, and that the EU has raised concerns about CBI programmes; Dominica is responding with in-person passport collection, a physical-presence requirement and a new regional regulator. Investors should treat CBI-linked structures as a compliance matter requiring legal advice, and build hurricane resilience and insurance into project design.

### MARKET ACCESS

Dominica is a member of the Organisation of Eastern Caribbean States (OECS) Economic Union and the Eastern Caribbean Currency Union, giving tariff-free trade, free movement and a shared currency with its neighbours, and of CARICOM's single market. It is a WTO member and, through CARIFORUM, a party to the Economic Partnership Agreement with the European Union, while the US Caribbean Basin Initiative provides preferential access to the US market. Merchandise trade is modest, with 2023 exports of about $22 million to markets including Antigua and Barbuda, the EU and the US, and the economy's main export earner is tourism, served by direct flights from the US and regional hubs and a cruise sector at its strongest in over a decade. The new international airport due in 2027 is expected to transform direct connections to North America and Europe.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the Prime Minister (Roosevelt Skerrit) | Sets the national development agenda, including the airport, geothermal energy, CBI reform and climate resilience | Primary reference point for understanding Dominica's strategic direction |
| Invest Dominica Authority | National investment promotion agency; processes fiscal incentives and facilitates foreign investment | Standard first point of contact for market entry and incentive applications |
| Eastern Caribbean Central Bank (ECCB) | Regional monetary authority managing the EC dollar peg and supervising banks across the currency union | Relevant for currency, banking and payments matters |
| Ministry of Finance (Dr Irving McIntyre, Minister) | Leads fiscal policy, the 2026/27 Budget reforms and the debt-reduction path | Key counterpart for tax, incentives and public-private partnership discussions |
| Citizenship by Investment Unit | Administers the CBI programme that channels investment into approved hotel and real-estate projects | Relevant for developers using CBI funding, subject to the new regional rules |
| Dominica Electricity Services (DOMLEC) | National utility and offtaker under the 25- | Key counterpart for energy, renewables |

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| | year power purchase agreement for the Laudat geothermal plant | and power-intensive investment |
| Eastern Caribbean Citizenship by Investment Regulatory Authority (ECCIRA) | New regional regulator for CBI programmes in five OECS states, scheduled to launch in September 2026 | Relevant for understanding future CBI standards and their implications for project financing |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The Dominica Association of Industry and Commerce is the principal private-sector body, alongside the Dominica Hotel and Tourism Association for hospitality investors. Invest Dominica Authority provides direct facilitation and sector outreach, and regional bodies including the OECS Commission and the ECCB, whose Monetary Council met in Dominica in July 2026, offer insight into the wider currency-union market. The World Bank, the Caribbean Development Bank, the Green Climate Fund and Canada are active financiers of resilience and clean-energy projects, including the geothermal plant and its transmission network, and are useful partners for co-financing. International hotel brands investing on the island, including InterContinental, Marriott and Hilton, are a practical source of market intelligence on tourism demand.

## INVESTOR PROFILE BEST SUITED

Dominica suits investors seeking exposure to a high-growth eco-tourism destination with a strong resilience and clean-energy story: boutique and branded hospitality investors positioned for the airlift expansion that the 2027 international airport will bring; renewable energy and resilient-infrastructure investors building on the geothermal plant and donor-funded climate programmes; organic agribusiness, agro-processing and water investors drawing on fertile volcanic soils and fresh-water resources; and wellness and adventure-tourism operators around the Morne Trois Pitons National Park. Investors with long horizons and experience of small-island markets will be best placed, and should build hurricane resilience and insurance into project design.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Dominica Authority on incentive terms
Open dialogue with the national investment agency to confirm eligibility for tax holidays, duty concessions and development policies under the Fiscal Incentives Act and Hotels Aid Act.

STEP 2: Position for the 2027 international airport
Assess hospitality, logistics and services opportunities that will benefit from expanded direct long-haul airlift once the new airport opens.

STEP 3: Build resilience into project design and financing
Apply resilient building standards, secure catastrophe insurance and explore co-financing with the World Bank, Caribbean Development Bank and climate funds.

STEP 4: Take legal advice on CBI-linked structures
Review the new regional CBI rules, ECCIRA oversight and current US and EU travel measures before relying on CBI funding or benefits in any investment plan.

STEP 5: Explore clean-energy and agribusiness opportunities
Engage DOMLEC and the relevant ministries on renewables and on agro-processing projects that benefit from lower, more stable geothermal power costs.